his ship. This enabled him to steer toward the light from Mr. C's window, drop anchor, and swim ashore to Mr. C's beach. As Mr. C brought poor Mr. B, soaked and forlorn, into his house, Mr. C couldn't help but remark, "There are times when a solid foundation is better than flexibility."

A bond portfolio produces solid income, safe as a stone house, but the floodwaters of inflation will eventually ruin its purchasing power. A stock portfolio has the ability to rise with inflation, but the storms of recession can cause rough sailing and eroded values, at least temporarily.

My advice to the widow was twofold. First, diversify, using an equity portfolio as well as the tax-exempt bonds that generate current income. Second, look for equities that are likely to provide an increasing dividend stream over time. Small but growing companies are an excellent place to start such a search.

Smaller Companies, Bigger Risks

Yes, small companies are riskier. Small companies often stumble trying to become big companies. When you are dependent on one or two people and one or two products, it is easy to see how things can go wrong. One man tries to do too much as his business expands. Another gets ahead of himself. I think of one entrepreneur who would have been a great success with $5 million in capital, but his investment banker raised $100 million and he went berserk, spent the money on unsound expansion, and wound up on the rocks. He never had a chance to grow and learn.

Small is always vulnerable. It's easier to sink a tugboat than a bat-